

Agilent Technologies, Inc.
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AGILENT TECHNOLOGIES, INC.
CONDENSED CONSOLIDATED STATEMENT OF OPERATIONS
(In millions, except per share amounts)
(Unaudited)
PRELIMINARY

	Three Months Ended October 31,		Years Ended October 31,	
	2020	2019	2020	2019
Net revenue	\$ 1,483	\$ 1,367	\$ 5,339	\$ 5,163
Costs and expenses:				
Cost of products and services	695	630	2,502	2,358
Research and development	102	102	495	404
Selling, general and administrative	387	385	1,496	1,460
Total costs and expenses	<u>1,184</u>	<u>1,117</u>	<u>4,493</u>	<u>4,222</u>
Income from operations	299	250	846	941
Interest income	1	6	8	36
Interest expense	(19)	(21)	(78)	(74)
Other income (expense), net	<u>2</u>	<u>(4)</u>	<u>66</u>	<u>16</u>
Income before taxes	283	231	842	919
Provision (benefit) for income taxes	61	37	123	(152)
Net income	<u>\$ 222</u>	<u>\$ 194</u>	<u>\$ 719</u>	<u>\$ 1,071</u>
Net income per share:				
Basic	\$ 0.72	\$ 0.63	\$ 2.33	\$ 3.41
Diluted	\$ 0.71	\$ 0.62	\$ 2.30	\$ 3.37
Weighted average shares used in computing net income per share:				
Basic	308	309	309	314
Diluted	311	313	312	318

The preliminary income statement is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
CONDENSED CONSOLIDATED BALANCE SHEET
(In millions, except par value and share amounts)
(Unaudited)
PRELIMINARY

	October 31, 2020	October 31, 2019
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 1,441	\$ 1,382
Accounts receivable, net	1,038	930
Inventory	720	679
Other current assets	216	198
Total current assets	<u>3,415</u>	<u>3,189</u>
Property, plant and equipment, net	845	850
Goodwill and other intangible assets, net	4,433	4,700
Long-term investments	158	102
Other assets	776	611
Total assets	<u>\$ 9,627</u>	<u>\$ 9,452</u>
LIABILITIES AND EQUITY		
Current liabilities:		
Accounts payable	\$ 354	\$ 354
Employee compensation and benefits	367	334
Deferred revenue	386	336
Short-term debt	75	616
Other accrued liabilities	285	440
Total current liabilities	<u>1,467</u>	<u>2,080</u>
Long-term debt	2,284	1,791
Retirement and post-retirement benefits	389	360
Other long-term liabilities	614	473
Total liabilities	<u>4,754</u>	<u>4,704</u>
Total Equity:		
Stockholders' equity:		
Preferred stock; \$0.01 par value; 125 million		
shares authorized; none issued and outstanding	—	—
Common stock; \$0.01 par value, 2 billion		
shares authorized; 306 million shares at October 31, 2020		
and 309 million shares at October 31, 2019, issued and outstanding	3	3
Additional paid-in-capital	5,311	5,277
Retained earnings (accumulated deficit)	81	(18)
Accumulated other comprehensive loss	(522)	(514)
Total stockholders' equity	<u>4,873</u>	<u>4,748</u>
Total liabilities and equity	<u>\$ 9,627</u>	<u>\$ 9,452</u>

The preliminary balance sheet is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS
(In millions)
(Unaudited)
PRELIMINARY

	Years Ended	
	October 31, 2020	October 31, 2019
Cash flows from operating activities:		
Net income	\$ 719	\$ 1,071
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization	308	238
Share-based compensation	83	72
Excess and obsolete inventory related charges	28	19
Asset impairment charges	99	—
Unrealized gain on equity securities	(28)	(1)
Loss on extinguishment of debt	—	9
Other non-cash expense, net	8	7
Changes in assets and liabilities:		
Accounts receivable, net	(107)	(106)
Inventory	(68)	(36)
Accounts payable	2	29
Employee compensation and benefits	29	23
Treasury lock agreement payment	—	(6)
Other assets and liabilities	(152)	(298)
Net cash provided by operating activities ^(a)	921	1,021
Cash flows from investing activities:		
Investments in property, plant and equipment	(119)	(155)
Proceeds from the sale of property, plant and equipment	1	—
Payment to acquire fair value investments	(20)	(23)
Payment in exchange for convertible note	(9)	(3)
Payment to acquire intangible assets	—	(1)
Acquisition of businesses and intangible assets, net of cash acquired	—	(1,408)
Net cash used in investing activities	(147)	(1,590)
Cash flows from financing activities:		
Issuance of common stock under employee stock plans	60	54
Payment of taxes related to net share settlement of equity awards	(37)	(16)
Payment of dividends	(222)	(206)
Issuance of senior notes	499	497
Debt issuance costs	(4)	(4)
Proceeds from revolving credit facility and short-term loan	798	805
Repayment of debt and credit facility	(1,413)	(702)
Proceeds from commercial paper	420	—
Repayment of commercial paper	(345)	—
Repayment of finance lease	(4)	—
Purchase of non-controlling interest	—	(4)
Treasury stock repurchases	(469)	(723)
Net cash used in financing activities	(717)	(299)
Effect of exchange rate movements	2	2
Net increase (decrease) in cash, cash equivalents and restricted cash	59	(866)
Cash, cash equivalents and restricted cash at beginning of period	1,388	2,254
Cash, cash equivalents and restricted cash at end of period	\$ 1,447	\$ 1,388
Reconciliation of cash, cash equivalents and restricted cash to the condensed consolidated balance sheet:		
Cash and cash equivalents	\$ 1,441	\$ 1,382
Restricted cash, included in other assets	6	6
Total cash, cash equivalents and restricted cash	\$ 1,447	\$ 1,388

^(a) Cash payments included in operating activities:

Income tax payments (refunds), net	\$ 361	\$ 159
Interest payments	\$ 71	\$ 80

The preliminary cash flow is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
LIFE SCIENCES AND APPLIED MARKETS SEGMENT
(Unaudited)
PRELIMINARY

(In millions, except margins data)

	2020				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 638	\$ 526	\$ 557	\$ 671	\$ 2,392
Gross margin %	60.2%	58.1%	59.3%	59.2%	59.2%
Income from operations	\$ 158	\$ 98	\$ 126	\$ 166	\$ 548
Operating margin %	24.8%	18.7%	22.6%	24.8%	22.9%

	2019				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 607	\$ 529	\$ 544	\$ 622	\$ 2,302
Gross margin %	62.1%	60.6%	60.5%	60.7%	61.0%
Income from operations	\$ 159	\$ 107	\$ 118	\$ 158	\$ 542
Operating margin %	26.1%	20.3%	21.7%	25.3%	23.5%

Income from operations reflect the results of our reportable segments under Agilent's management reporting system which are not necessarily in conformity with GAAP financial measures. Income from operations of our reporting segments exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, business exit and divestiture costs, special compliance costs and acceleration of share-based compensation expense.

Readers are reminded that non-GAAP numbers are merely a supplement to, and not a replacement for, GAAP financial measures. They should be read in conjunction with the GAAP financial measures. It should be noted as well that our non-GAAP information may be different from the non-GAAP information provided by other companies.

The preliminary segment information is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
DIAGNOSTICS AND GENOMICS SEGMENT
(Unaudited)
PRELIMINARY

(In millions, except margins data)

	2020				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 249	\$ 263	\$ 241	\$ 294	\$ 1,047
Gross margin %	51.7%	55.1%	49.8%	50.9%	51.9%
Income from operations	\$ 34	\$ 57	\$ 41	\$ 60	\$ 192
Operating margin %	13.5%	21.6%	17.2%	20.3%	18.3%

	2019				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 235	\$ 254	\$ 263	\$ 269	\$ 1,021
Gross margin %	54.0%	54.8%	55.7%	54.0%	54.7%
Income from operations	\$ 33	\$ 49	\$ 50	\$ 53	\$ 185
Operating margin %	14.0%	19.3%	19.1%	19.7%	18.2%

Income from operations reflect the results of our reportable segments under Agilent's management reporting system which are not necessarily in conformity with GAAP financial measures. Income from operations of our reporting segments exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, business exit and divestiture costs, NASD site costs, special compliance costs and acceleration of share-based compensation expense.

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The preliminary segment information is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
AGILENT CROSSLAB SEGMENT
(Unaudited)
PRELIMINARY

(In millions, except margins data)

	2020				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 470	\$ 449	\$ 463	\$ 518	\$ 1,900
Gross margin %	51.8%	52.5%	52.6%	51.8%	52.2%
Income from operations	\$ 119	\$ 122	\$ 132	\$ 143	\$ 516
Operating margin %	25.4%	27.2%	28.4%	27.7%	27.2%

	2019				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 442	\$ 455	\$ 467	\$ 476	\$ 1,840
Gross margin %	51.3%	51.3%	52.1%	52.6%	51.8%
Income from operations	\$ 105	\$ 115	\$ 122	\$ 133	\$ 475
Operating margin %	23.9%	25.2%	26.2%	28.0%	25.8%

Income from operations reflect the results of our reportable segments under Agilent's management reporting system which are not necessarily in conformity with GAAP financial measures. Income from operations of our reporting segments exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, business exit and divestiture costs, special compliance costs and acceleration of share-based compensation expense.

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The preliminary segment information is estimated based on our current information.

Agilent Technologies, Inc.
Non-GAAP Financial Results Q4'19 - Q4'20
(Unaudited)

		Preliminary				
		Q4'19	Q1'20	Q2'20	Q3'20	Q4'20
M\$						Q4
						Y/Y
Net Revenue		1,367	1,357	1,238	1,261	1,483
Gross Profit %		56.5%	55.7%	55.4%	55.1%	55.0%
R&D		100	102	97	91	101
% Revenue		7.3%	7.5%	7.8%	7.2%	6.8%
SG&A		329	343	312	305	345
% Revenue		24.1%	25.3%	25.2%	24.2%	23.3%
Operating Profit		344	311	277	299	369
Operating Margin		25.1%	22.9%	22.4%	23.7%	24.9%
Other Income/ (Expense)		(11)	(12)	(14)	(11)	(12)
Pre-Tax Earnings		333	299	263	288	357
Tax Rate		17%	16%	16%	16%	15%
Income Tax		56	47	40	45	52
Net Income		277	252	223	243	305
Net Margin		20.3%	18.6%	18.0%	19.3%	20.6%
Non-GAAP EPS		\$ 0.89	\$ 0.81	\$ 0.71	\$ 0.78	\$ 0.98
						0.09

We provide the non-GAAP income statements in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, business exit and divestiture costs, pension settlement loss, loss on extinguishment of debt and acceleration of share-based compensation expense.

Asset impairments include assets that have been written down to their fair value.

Transformational initiatives include expenses associated with targeted cost reduction activities such as manufacturing transfers including costs to move manufacturing due to new tariffs and tariff remediation actions, small site consolidations, legal entity and other business reorganizations, insourcing or outsourcing of activities. Such costs may include move and relocation costs, one-time termination benefits and other one-time reorganization costs. Included in this category are also expenses associated with company programs to transform our product lifecycle management (PLM) system and human resources and financial systems.

Acquisition and integration costs include all incremental expenses incurred to effect a business combination. Such acquisition costs may include advisory, legal, accounting, valuation, and other professional or consulting fees. Such integration costs may include expenses directly related to integration of business and facility operations, the transfer of assets and intellectual property, information technology systems and infrastructure and other employee-related costs.

Business exit and divestiture costs include costs associated with business divestitures.

Pension settlement loss relates to the relief of the US Retirement Plan pension obligation due to increased lump sum payouts over a specified accounting threshold.

Loss on extinguishment of debt relates to the net loss recorded on full redemption of \$500 million of outstanding 5.00% senior notes due July 2020, called on August 16, 2019 and settled on September 17, 2019.

Acceleration of share-based compensation expense represents stock-based compensation expense that was accelerated upon employees' involuntary termination from the company.

Other includes certain legal costs and settlements in addition to other miscellaneous adjustments.

Tax benefit on intra-entity asset transfer relates to our operations in Singapore along with our application of the new accounting rules for income tax consequences of intra-entity transfer of assets as adopted on November 1, 2018.

Our management uses non-GAAP measures to evaluate the performance of our core businesses, to estimate future core performance and to compensate employees. Since management finds this measure to be useful, we believe that our investors benefit from seeing our results "through the eyes" of management in addition to seeing our GAAP results. This information facilitates our management's internal comparisons to our historical operating results as well as to the operating results of our competitors.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

Readers are reminded that non-GAAP numbers are merely a supplement to, and not a replacement for, GAAP financial measures. They should be read in conjunction with the GAAP financial measures. It should be noted as well that our non-GAAP information may be different from the non-GAAP information provided by other companies.

For reconciliations of the non-GAAP financial information to the most directly comparable GAAP information, please see the non-GAAP reconciliations for all prior periods provided at the Investor's page of our website.

AGILENT TECHNOLOGIES, INC.
RECONCILIATION OF NON-GAAP AND GAAP FINANCIAL RESULTS
(In millions, except margin data)
(Unaudited)
PRELIMINARY

GROSS MARGIN	Q4'20	Gross Margin %	Q4'19	Gross Margin %
Revenue:	\$ 1,483		\$ 1,367	
Gross margin:				
Cost of products and services	\$ 695	53.1%	\$ 630	53.9%
Add:				
Intangible amortization	(24)		(30)	
Transformational initiatives	(1)		(3)	
Acquisition and integration costs	(1)		(3)	
Other	(1)		—	
Non-GAAP cost of products and services	\$ 668	55.0%	\$ 594	56.5%

RESEARCH & DEVELOPMENT EXPENSES	Q4'20	R&D as % of Revenue	Q4'19	R&D as % of Revenue
Revenue:	\$ 1,483		\$ 1,367	
Research and development expenses	\$ 102	6.9%	\$ 102	7.5%
Add:				
Transformational initiatives	—		(2)	
Acquisition and integration costs	—		(1)	
Acceleration of share-based compensation expense	(1)		—	
Other	—		1	
Non-GAAP research and development expenses	\$ 101	6.8%	\$ 100	7.3%

SELLING, GENERAL & ADMINISTRATIVE EXPENSES	Q4'20	SG&A as % of Revenue	Q4'19	SG&A as % of Revenue
Revenue:	\$ 1,483		\$ 1,367	
Selling, general and administrative expenses	\$ 387	26.1%	\$ 385	28.2%
Add:				
Intangible amortization	(21)		(16)	
Transformational initiatives	(11)		(14)	
Acquisition and integration costs	(7)		(12)	
Business exit and divestiture costs	(2)		—	
Other	(1)		(14)	
Non-GAAP selling, general & administrative expenses	\$ 345	23.3%	\$ 329	24.1%

We provide non-GAAP gross margin, research & development and selling, general & administrative expense amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, business exit and divestiture costs and acceleration of share-based compensation expense.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

Readers are reminded that non-GAAP numbers are merely a supplement to, and not a replacement for, GAAP financial measures. They should be read in conjunction with the GAAP financial measures. It should be noted as well that our non-GAAP information may be different from the non-GAAP information provided by other companies.

The preliminary reconciliation of gross margin, research & development expenses and selling, general & administrative expenses is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATION OF NON-GAAP AND GAAP FINANCIAL RESULTS
(In millions, except margin data)
(Unaudited)
PRELIMINARY

<u>GROSS MARGIN</u>	<u>FY20</u>	<u>Gross Margin %</u>	<u>FY19</u>	<u>Gross Margin %</u>
Revenue:	\$ 5,339		\$ 5,163	
Gross margin:				
Cost of products and services	\$ 2,502	53.1%	\$ 2,358	54.3%
Add:				
Intangible amortization	(98)		(86)	
Transformational initiatives	(7)		(9)	
Acquisition and integration costs	(5)		(9)	
NASD site costs	—		(7)	
Other	(5)		—	
Non-GAAP cost of products and services	<u>\$ 2,387</u>	55.3%	<u>\$ 2,247</u>	56.5%

<u>RESEARCH & DEVELOPMENT EXPENSES</u>	<u>FY20</u>	<u>R&D as % of Revenue</u>	<u>FY19</u>	<u>R&D as % of Revenue</u>
Revenue:	\$ 5,339		\$ 5,163	
Research and development expenses	\$ 495	9.3%	\$ 404	7.8%
Add:				
Asset impairments	\$ (97)		—	
Transformational initiatives	\$ (5)		(3)	
Acquisition and integration costs	(2)		(2)	
Acceleration of share-based compensation expense	(1)		—	
Other	1		—	
Non-GAAP research and development expenses	<u>\$ 391</u>	7.3%	<u>\$ 399</u>	7.7%

<u>SELLING, GENERAL & ADMINISTRATIVE EXPENSES</u>	<u>FY20</u>	<u>SG&A as % of Revenue</u>	<u>FY19</u>	<u>SG&A as % of Revenue</u>
Revenue:	\$ 5,339		\$ 5,163	
Selling, general and administrative expenses	\$ 1,496	28.0%	\$ 1,460	28.3%
Add:				
Asset impairments	\$ (2)		—	
Intangible amortization	(86)		(39)	
Transformational initiatives	(41)		(32)	
Acquisition and integration costs	(34)		(37)	
Business exit and divestiture costs	(2)		—	
NASD site costs	—		(5)	
Special compliance costs	—		(2)	
Acceleration of share-based compensation expense	(1)		—	
Other	(25)		(30)	
Non-GAAP selling, general & administrative expenses	<u>\$ 1,305</u>	24.4%	<u>\$ 1,315</u>	25.5%

We provide non-GAAP gross margin, research & development and selling, general & administrative expense amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, business exit and divestiture costs, NASD site costs, special compliance costs and acceleration of share-based compensation expense.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

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The preliminary reconciliation of gross margin, research & development expenses and selling, general & administrative expenses is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATION OF NON-GAAP INCOME FROM OPERATIONS AND OPERATING MARGINS
(In millions, except margin data)
(Unaudited)
PRELIMINARY

	Q4'20	Operating Margin %	Q4'19	Operating Margin %	Year Over Year Percent Pts Inc/(Dec)
Revenue:	\$ 1,483		\$ 1,367		
Income from operations:					
GAAP Income from operations	\$ 299	20.2%	\$ 250	18.3%	
Add:					
Intangible amortization	45		46		
Transformational initiatives	12		19		
Acquisition and integration costs	8		16		
Business exit and divestiture costs	2		—		
Acceleration of share-based compensation expense	1		—		
Other	2		13		
Non-GAAP income from operations	<u>\$ 369</u>	24.9%	<u>\$ 344</u>	25.1%	-0.2%

We provide non-GAAP income from operations and non-GAAP operating margin amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to amortization of intangibles, transformational initiatives, acquisition and integration costs, business exit and divestiture costs and acceleration of share-based compensation expense.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

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The preliminary reconciliation of income from operations and operating margins is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATION OF ADJUSTED NON-GAAP INCOME FROM OPERATIONS AND OPERATING MARGINS
(In millions, except margin data)
(Unaudited)
PRELIMINARY

	FY20	Operating Margin %	FY19	Operating Margin %	Year Over Year Percent Pts Inc/(Dec)
Revenue:	\$ 5,339		\$ 5,163		
Income from operations:					
GAAP Income from operations	\$ 846	15.8%	\$ 941	18.2%	
Add:					
Asset impairments	\$ 99		—		
Intangible amortization	184		125		
Transformational initiatives	53		44		
Acquisition and integration costs	41		48		
Business exit and divestitures	2		—		
NASD site costs	—		12		
Special compliance costs	—		2		
Acceleration of share-based compensation expense	2		—		
Other	29		30		
Non-GAAP income from operations	<u>\$ 1,256</u>	23.5%	<u>\$ 1,202</u>	23.3%	0.2%

We provide non-GAAP income from operations and non-GAAP operating margin amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, business exit and divestiture costs, NASD site costs, special compliance costs and acceleration of share-based compensation expense.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

Readers are reminded that non-GAAP numbers are merely a supplement to, and not a replacement for, GAAP financial measures. They should be read in conjunction with the GAAP financial measures. It should be noted as well that our non-GAAP information may be different from the non-GAAP information provided by other companies.

The preliminary reconciliation of income from operations and operating margins is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
NON-GAAP NET INCOME AND DILUTED EPS RECONCILIATIONS
(In millions, except per share amounts)
(Unaudited)
PRELIMINARY

	Q4'19		Q1'20		Q2'20		Q3'20		Q4'20		Year Ended October 31, 2019		Year Ended October 31, 2020	
	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS
GAAP net income	\$ 194	\$ 0.62	\$ 197	\$ 0.63	\$ 101	\$ 0.32	\$ 199	\$ 0.64	\$ 222	\$ 0.71	\$ 1,071	\$ 3.37	\$ 719	\$ 2.30
Non-GAAP adjustments:														
Asset impairments	—	—	—	—	99	0.32	—	—	—	—	—	—	99	\$ 0.32
Intangible amortization	46	0.15	48	0.15	46	0.15	45	0.15	45	0.14	125	0.39	184	0.59
Transformational initiatives	19	0.06	13	0.04	15	0.05	13	0.04	12	0.04	44	0.14	53	0.17
Acquisition and integration costs	16	0.05	13	0.04	11	0.03	9	0.03	8	0.03	48	0.15	41	0.13
Business exit and divestiture costs	—	—	—	—	—	—	—	—	2	0.01	—	—	2	0.01
Pension settlement loss	—	—	—	—	—	—	—	—	4	0.01	—	—	4	0.01
Loss on extinguishment of debt	9	0.03	—	—	—	—	—	—	—	—	9	0.03	—	—
NASD site costs	—	—	—	—	—	—	—	—	—	—	12	0.04	—	—
Special compliance costs	—	—	—	—	—	—	—	—	—	—	2	0.01	—	—
Acceleration of share-based compensation expense	—	—	—	—	—	—	1	—	1	—	—	—	2	0.01
Other	12	0.04	6	0.02	(29)	(0.09)	1	—	2	0.01	29	0.09	(20)	(0.06)
Tax benefit on intra-entity asset transfer	—	—	—	—	—	—	—	—	—	—	(299)	(0.94)	—	—
Adjustment for taxes ^(a)	(19)	(0.06)	(25)	(0.07)	(20)	(0.07)	(25)	(0.08)	9	0.03	(52)	(0.17)	(61)	(0.20)
Non-GAAP net income	<u>\$ 277</u>	<u>\$ 0.89</u>	<u>\$ 252</u>	<u>\$ 0.81</u>	<u>\$ 223</u>	<u>\$ 0.71</u>	<u>\$ 243</u>	<u>\$ 0.78</u>	<u>\$ 305</u>	<u>\$ 0.98</u>	<u>\$ 989</u>	<u>\$ 3.11</u>	<u>\$ 1,023</u>	<u>\$ 3.28</u>

^(a) The adjustment for taxes excludes tax benefits that management believes are not directly related to on-going operations and which are either isolated or cannot be expected to occur again with any regularity or predictability. For the three months ended January 31, 2020, April 30, 2020 and July 31, 2020, management used a non-GAAP effective tax rate of 15.50%. For the three months ended October 31, 2020, management used a non-GAAP effective tax rate of 14.65%. For the year ended October 31, 2020, management used a non-GAAP effective tax rate of 15.25%. For the three months and year ended October 31, 2019, management used a non-GAAP effective tax rate of 16.82% and 16.75%, respectively.

We provide non-GAAP net income and non-GAAP net income per share amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, business exit divestiture costs, pension settlement loss, loss on extinguishment of debt, NASD site costs, special compliance costs, acceleration of share-based compensation expense and tax benefit on intra-entity asset transfer.

Asset impairments include assets that have been written down to their fair value.

Transformational initiatives include expenses associated with targeted cost reduction activities such as manufacturing transfers including costs to move manufacturing due to new tariffs and tariff remediation actions, site consolidations, legal entity and other business reorganizations, insourcing or outsourcing of activities. Such costs may include move and relocation costs, one-time termination benefits and other one-time reorganization costs. Included in this category are also expenses associated with company programs to transform our product lifecycle management (PLM) system and human resources and financial systems.

Acquisition and integration costs include all incremental expenses incurred to effect a business combination. Such acquisition costs may include advisory, legal, tax, accounting, valuation, and other professional or consulting fees. Such integration costs may include expenses directly related to integration of business and facility operations, the transfer of assets and intellectual property, information technology systems and infrastructure and other employee-related costs.

Business exit and divestiture costs include costs associated with business divestitures.

Pension settlement loss relates to the relief of the US Retirement Plan pension obligation due to increased lump sum payouts over a specified accounting threshold.

Loss on extinguishment of debt relates to the net loss recorded on full redemption of \$500 million of outstanding 5.00% senior notes due July 2020, called on August 16, 2019 and settled on September 17, 2019.

NASD site costs include all the costs related to the expansion of our manufacturing of nucleic acid active pharmaceutical ingredients incurred prior to the commencement of commercial manufacturing.

Special compliance costs associated with transforming our processes to implement new regulations such as data privacy regulations, revenue recognition, lease accounting and certain tax reporting requirements.

Acceleration of share-based compensation expense represents stock-based compensation expense that was accelerated upon employees' involuntary termination from the company.

Other includes certain legal costs and settlements and net unrealized gains related to our equity securities in addition to other miscellaneous adjustments.

Tax benefit on intra-entity asset transfer relates to our operations in Singapore along with our application of the new accounting rules for income tax consequences of intra-entity transfer of assets as adopted on November 1, 2018.

Our management uses non-GAAP measures to evaluate the performance of our core businesses, to estimate future core performance and to compensate employees. Since management finds this measure to be useful, we believe that our investors benefit from seeing our results "through the eyes" of management in addition to seeing our GAAP results. This information facilitates our management's internal comparisons to our historical operating results as well as to the operating results of our competitors.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

Readers are reminded that non-GAAP numbers are merely a supplement to, and not a replacement for, GAAP financial measures. They should be read in conjunction with the GAAP financial measures. It should be noted as well that our non-GAAP information may be different from the non-GAAP information provided by other companies.

The preliminary non-GAAP net income and diluted EPS reconciliation is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY SEGMENT EXCLUDING
ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

		Year-over-Year		
		GAAP		
<u>GAAP Revenue by Segment</u>		Q4'20	Q4'19	Year-over-Year % Change
Life Sciences and Applied Markets Group	\$	671	\$ 622	8%
Diagnostics and Genomics Group		294	269	9%
Agilent CrossLab Group		518	476	9%
Agilent	\$	1,483	\$ 1,367	8%

		Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year at Constant Currency ^(a)		Current Quarter Currency Impact ^(b)
<u>Non GAAP Revenue by Segment</u>		Q4'20	Q4'19	Year-over-Year % Change	Year-over-Year % Change	Percentage Point Impact from Currency	
Life Sciences and Applied Markets Group	\$	655	\$ 622	5%	4%	1 ppt	\$ 9
Diagnostics and Genomics Group		294	269	9%	7%	2 ppts	5
Agilent CrossLab Group		518	476	9%	7%	2 ppts	9
Agilent (Core)	\$	1,467	\$ 1,367	7%	6%	1 ppt	\$ 23

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current quarter currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY SEGMENT EXCLUDING
ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

	Year-over-Year								
<u>GAAP Revenue by Segment</u>	GAAP			Year-over-Year					
	FY20	FY19		% Change					
Life Sciences and Applied Markets Group	\$ 2,392	\$ 2,302		4%					
Diagnostics and Genomics Group	1,047	1,021		2%					
Agilent CrossLab Group	1,900	1,840		3%					
Agilent	<u>\$ 5,339</u>	<u>\$ 5,163</u>		3%					

<u>Non GAAP Revenue by Segment</u>	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year			Year-over-Year at Constant Currency ^(a)		Current Year Currency Impact ^(b)
	FY20	FY19		% Change			% Change	Percentage Point Impact from Currency	
Life Sciences and Applied Markets Group	\$ 2,243	\$ 2,302		(3%)		(2%)		-1 ppt	\$ (6)
Diagnostics and Genomics Group	1,047	1,021		2%		3%		-1 ppt	(2)
Agilent CrossLab Group	1,900	1,840		3%		4%		-1 ppt	(10)
Agilent (Core)	<u>\$ 5,190</u>	<u>\$ 5,163</u>		1%		1%		—	<u>\$ (18)</u>

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current year currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY REGION EXCLUDING
ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

	GAAP			Year-over-Year		
<u>GAAP Revenue by Region</u>	Q4'20	Q4'19	Year-over-Year % Change			
Americas	566	530	7%			
Europe	395	365	8%			
Asia Pacific	522	472	11%			
Total Revenue	\$ 1,483	\$ 1,367	8%			
China and Hong Kong	\$ 298	\$ 260	14%			
	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year at Constant Currency ^(a)		
<u>Non GAAP Revenue by Region</u>	Q4'20	Q4'19	Year-over-Year % Change	Year-over-Year % Change	Percentage Point Impact from Currency	Current Quarter Currency Impact ^(b)
Americas	553	530	4%	5%	-1 ppt	(6)
Europe	394	365	8%	2%	6 ppts	21
Asia Pacific	520	472	10%	9%	1 ppt	8
Total Revenue (Core)	\$ 1,467	\$ 1,367	7%	6%	1 ppt	\$ 23
China and Hong Kong	\$ 298	\$ 260	14%	13%	1 ppt	\$ 4

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current quarter currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY REGION EXCLUDING
ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

	Year-over-Year						
<u>GAAP Revenue by Region</u>	GAAP						
	FY20	FY19	Year-over-Year % Change				
Americas	1,968	1,861	6%				
Europe	1,443	1,441	—				
Asia Pacific	1,928	1,861	4%				
Total Revenue	<u>\$ 5,339</u>	<u>\$ 5,163</u>	3%				
China and Hong Kong	\$ 1,087	\$ 1,019	7%				

<u>Non GAAP Revenue by Region</u>	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year at Constant Currency ^(a)		Current Quarter Currency Impact ^(b)	
	FY20	FY19	Year-over-Year % Change	Year-over-Year % Change	Percentage Point Impact from Currency		
Americas	1,843	1,861	-1%	—	-1 ppt	(15)	
Europe	1,431	1,441	-1%	-1%	—	4	
Asia Pacific	1,916	1,861	3%	4%	-1 ppt	(7)	
Total Revenue (Core)	<u>\$ 5,190</u>	<u>\$ 5,163</u>	1%	1%	—	<u>\$ (18)</u>	
China and Hong Kong	\$ 1,087	\$ 1,019	7%	7%	—	\$ (7)	

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current year currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY MARKET EXCLUDING
ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

	Year-over-Year		
	GAAP		
	Year-over-Year		
<u>GAAP Revenue by Market</u>	Q4'20	Q4'19	% Change
Pharmaceutical	\$ 491	\$ 426	15%
Academia and government	151	141	7%
Diagnostics and clinical	215	207	3%
Chemical and energy	315	300	5%
Food	150	127	17%
Environmental and forensics	161	166	(3%)
Total Revenue	\$ 1,483	\$ 1,367	8%

	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year at Constant Currency ^(a)		
	Year-over-Year			Year-over-Year	Percentage Point	Current Quarter
<u>Non GAAP Revenue by Market</u>	Q4'20	Q4'19	% Change	% Change	Impact from Currency	Currency Impact ^(b)
Pharmaceutical	\$ 484	\$ 426	14%	12%	2 ppts	\$ 6
Academia and government	143	141	1%	—	1 ppt	2
Diagnostics and clinical	214	207	3%	1%	2 ppts	5
Chemical and energy	315	300	5%	3%	2 ppts	5
Food	150	127	17%	16%	1 ppt	2
Environmental and forensics	161	166	(3%)	(5%)	2 ppts	3
Total Revenue (Core)	\$ 1,467	\$ 1,367	7%	6%	1 ppt	\$ 23

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current quarter currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY MARKET EXCLUDING
ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

	Year-over-Year		
	GAAP		
<u>GAAP Revenue by Market</u>	<u>FY20</u>	<u>FY19</u>	<u>Year-over-Year % Change</u>
Pharmaceutical	\$ 1,754	\$ 1,604	9%
Academia and government	526	474	11%
Diagnostics and clinical	787	785	—
Chemical and energy	1,154	1,199	(4%)
Food	517	486	6%
Environmental and forensics	601	615	(2%)
Total Revenue	<u>\$ 5,339</u>	<u>\$ 5,163</u>	3%

	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year at Constant Currency ^(a)		
	<u>FY20</u>	<u>FY19</u>	<u>Year-over-Year % Change</u>	<u>Year-over-Year % Change</u>	<u>Percentage Point Impact from Currency</u>	<u>Current Quarter Currency Impact ^(b)</u>
Pharmaceutical	\$ 1,687	\$ 1,604	5%	6%	-1 ppt	\$ (7)
Academia and government	452	474	(5%)	(4%)	-1 ppt	(1)
Diagnostics and clinical	779	785	(1%)	(1%)	—	(1)
Chemical and energy	1,153	1,199	(4%)	(3%)	-1 ppt	(5)
Food	517	486	6%	7%	-1 ppt	(2)
Environmental and forensics	602	615	(2%)	(2%)	—	(2)
Total Revenue (Core)	<u>\$ 5,190</u>	<u>\$ 5,163</u>	1%	1%	—	<u>\$ (18)</u>

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current year currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.